

“The primary challenge in implementing NFC in India is interoperability”



FIME is a consulting and market integration services provider for secure chip based applications, tokens and devices within the telecom, e-payment, transport, e-identity and logistics sectors.

Prakash Sambandam, managing director of FIME India, recently spoke to Dilin Anand of EFY about cards, near-field communication (NFC) and the challenges faced in India

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How big is the market for chip card technology in India?

The smart card sector in India is constantly growing, with many projects related to the universal integrated circuit card or the next-generation SIM card. NFC and contactless technologies are the areas of increased interest here. The majority of these projects come from government initiatives like e-passports, e-identity cards and e-licences for drivers, public distribution system, National Rural Employment Guarantee Scheme, as well as the private sector, in particular for the development of banking applications.

The Reserve Bank of India (RBI) has recently mandated banks to move to EMV—a global standard for credit and debit payment cards based on chip card technology. The resulting migration to chip and personal identification number (PIN) may include the use of contactless and mobile payments. These advancements are rapidly progressing, requiring the local stakeholders to respond quickly to new concepts and processes. Aligning to industry standards and validating products are the keys to providing market assurances and inspiring confidence.

What are the challenges in migrating to EMV?

India does not have a high rate of card fraud. Therefore the migration to EMV was not seen as a priority. Implementing EMV requires a lot of upgrades to existing infra-

structure, for example, back-end systems and point-of-sale terminals. The changes required are both costly and time consuming, making it difficult to justify the investments needed against the low rate of card fraud in India.

Now that the rest of the world is moving or has already made the move to EMV, India is becoming increasingly vulnerable to card fraud. So it is only natural that RBI migrates to EMV in order to create a more secure payment landscape in India.

What are the challenges in implementing NFC in India?

The primary challenge in implementing NFC in India is interoperability and getting the different industry players to work together. Mobile service providers, transport operators and banking systems need to converge their efforts regardless of their different business objectives, for example. To achieve an interoperable and sustainable contactless and NFC ecosystem, a market must be stable and based on proven and trusted standards.

What are the different security technologies used in the payment industry?

There are different technologies but EMVCo is the *de facto* standard. EMVCo is the EMV standards body collectively owned by American Express, JCB, MasterCard and Visa.